PAPER – 1: ACCOUNTING

QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:

   (a) A concern proposes to discontinue its business from December 2023 and decides to dispose off all its plants within a period of 3 months. The Balance Sheet as on 31st December, 2023 should continue to indicate the plants at its historical costs as the assets will be disposed off after the Balance Sheet date.

   (b) The Sales book is kept to record both cash and credit sales.

   (c) Bank reconciliation statement is prepared to arrive at the bank balance.

   (d) Damaged Inventory should be valued at cost or market price, whichever is lower.

   (e) Reducing balance method of depreciation is followed to have a uniform charge for depreciation and repairs and maintenance together.

   (f) Discount at the time of retirement of a bill is a gain for the drawee.

   (g) A withdrawal of cash from the business by the proprietor for personal use should be charged to profit and loss account as an expense.

   (h) In case of admission of a new partner in a partnership firm, the profit/loss on revaluation account is transferred to all partners in their new profit sharing ratio.

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(i) Where a Non-Profit organization separate trading activity, the profit and loss from the trading account shall be transferred to Income and Expenditure Account at the time of consolidation.

(j) In the balance sheet of X Limited, preliminary expenses amounting to ₹ 5 lakhs and securities premium account of ₹ 35 lakhs are appearing; The accountant can use the balance in securities premium account to write off preliminary expenses.

(k) Debenture interest is payable after the payment of preference dividend but before the payment of equity dividend.

Theoretical Framework

2. (a) What services can a Chartered Accountant provide to the society?

(b) State the advantages of setting Accounting Standards.

Journal Entries

3. (a) Journalise the following transactions in the books of Gopal Traders:

2023	
April,5	Discounted a bill of exchange of ₹20,000 at 2% through bank.
April,8	Sold goods to Malik costing ₹ 20,000 at 25% above cost less trade discount of 10% plus CGST and SGST @ 6%.
April,10	Purchased goods from trends industries for Rs 8,000 plus CGST and SGST@6% each.
April,16	Received ₹5,800 form Amar Singh in full settlement of his account for ₹ 6,000.
April,19	Goods given as charity costing ₹800, sale price ₹1,000. CGST and SGST @6% each was paid at the time of purchase of such goods.
April,23	Received ₹510 from Ganesh on his account for ₹600.
April,25	Interest on loan from Akash ₹1,000 due but not paid.

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Capital or Revenue Receipt or Expenditure

(b) Classify the following receipts or expenditures as capital or revenue:

(i) Wages incurred by a factory in manufacturing a part for its plant.

(ii) Travelling expenses of the directors for trips abroad for purchase of capital assets.

(iii) An expenditure intended to benefit the current period.

(iv) Amount paid for removal of stock to a new site.

(v) Amount received from sale of land and building by a real estate dealer.

Subsidiary Books

4. (a) The following are some of the transactions of M/s Sameer traders - a garment dealer. Prepare the sales book.

Sold to M/s. Chawla & Verma on credit:

30 shirts @ ₹ 700 per shirt.

20 trousers @ ₹1,000 per trouser.

Less: Trade Discount @ 10%

Sold furniture to M/s. Mittal & Co. on credit ₹8,000.

Sold 50 shirts to M/s. Nagpal & Sons @ ₹800 per shirt.

Sold typewriter to M/s. Goyal & Co. ₹7,200 for cash

Sold 30 shirts to Cheap Stores @ ₹750 each for cash.

Sold on credit to M/s. Madhu & Garg.

50 shirts @ ₹750 per shirt

20 overcoats @ ₹5,000 per overcoat.

Less: Trade Discount @ 10%

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Rectification of Errors

(b) M/s. Beta Chemicals labs were unable to agree the Trial Balance as on 31st March, 2023 and have raised a suspense account for the difference. Next year the following errors were discovered:

(i) Repairs made during the year were wrongly debited to the building A/c - ₹ 12,500.

(ii) The addition of the 'Freight' column in the purchase journal was short by ₹ 15,000.

(iii) Goods to the value of ₹ 4,500 returned by a customer, Shiv & Co., had been posted to the debit of Shiv & Co. and also to sales returns.

(iv) Sundry items of furniture sold for ₹ 30,000 had been entered in the sales book, the total of which had been posted to sales account.

(v) A bill of exchange (received from Ms. Sapna) for ₹ 75,000 had been returned by the bank as dishonoured and had been credited to the bank and debited to bills receivable account.

You are required to pass journal entries to rectify the above mistakes.

Bank Reconciliation Statement

5. On 31 December 2023, Bank Statement of Samar & Co. was showing a favourable balance of ₹1,05,980. This did not agree with the balance in the cash book. On scrutiny of the Cash Book and Bank Statement following discrepancies were found:

(i) A deposit of 30,825 made on 29th December 2023 had not been credited by the bank till 31 December 2023.

(ii) Cheques issued for ₹48,400 not presented for payment till 31 December 2023.

(iii) On 25th September 2023, the firm had entered into Hire Purchase agreement to pay by bank order a sum of ₹ 25,000 on the 10th of each month, commencing from October 2023. For this transaction no entries had been made in cash book.

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(iv) A customer of the firm, who received a cash discount of 4% on his account of ₹2,00,000 paid the firm a cheque on 22 December. The Cashier erroneously entered the gross amount in the bank column of the Cash Book.

(v) Bank Charges amounting to ₹1,250 had not been entered in Cash Book

(vi) Dividend of 25,000 collected by bank was not recorded in cash book.

Prepare Bank Reconciliation Statement as on 31st December 2023. .

Valuation of Inventories

6. A trader prepared his accounts on 31st March, each year. Due to some unavoidable reasons, no stock taking could be possible till 15th April, 2023 on which date the total cost of goods in his godown came to ₹ 50,000. The following facts were established between 31st March and 15th April, 2023.

(i) Sales ₹ 41,000 (including cash sales ₹ 10,000)

(ii) Purchases ₹ 5,034 (including cash purchases ₹ 1,990)

(iii) Sales Return ₹ 1,000.

(iv) On 15th March, goods of the sale value of ₹ 10,000 were sent on sale or return basis to a customer, the period of approval being four weeks. He returned 40% of the goods on 10th April, approving the rest; the customer was billed on 16th April.

(v) The trader had also received goods costing ₹ 8,000 in March, for sale on consignment basis; 20% of the goods had been sold by 31st March, and another 50% by the 15th April. These sales are not included in above sales.

Goods are sold by the trader at a profit of 20% on sales.

You are required to ascertain the value of Inventory as on 31st March, 2023.

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Depreciation and Amortisation

7. M/s. Mohit Transport Company purchased 10 Buses @ ₹ 25,00,000 each on 1st July 2020. On 1st October, 2022, one of the buses is involved in an accident and is completely destroyed and ₹ 17,50,000 is received from the insurance in full settlement. On the same date, another bus was purchased by the company for the sum of ₹ 30,00,000. The company writes off 20% of the original cost per annum. The company observes the calendar year as its financial year.

   Give the Bus account for two years ending 31st December, 2023.

Bills of Exchange

8. Chavi owed ₹ 1,00,000 to Ritu. Chavi accepted a bill drawn by Ritu for the amount at 3 months. After 3 days, Ritu got the bill discounted with her bank for ₹ 99,000. Before the due date, Chavi approached Ritu for renewal of the bill. Ritu agreed on the conditions that ₹ 50,000 be paid immediately together with interest on the remaining amount at 12% per annum for 3 months and for the balance, Chavi should accept a new bill at three months. These arrangements were carried out. But afterwards, Chavi became insolvent and 40% of the amount could be recovered from his estate.

   Pass journal entries (with narration) in the books of Ritu.

Final accounts

9. The following is the trial balance of Mr. Samuel for the year ended 31st March,2024:

Trial Balance as on 31st March,2024

Particulars	Dr.	Cr.
Capital		9,50,000
Sundry Creditors		3,25,000
Purchase Returns		50,000
Loan from Mr. Sahil		4,00,000
Provision for Bad and Doubtful Debts		25,000
Sales		44,20,000

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Bank overdraft		6,00,000
Opening Stock:		
Raw Materials	2,50,000	
Finished goods	4,25,000	
Purchase of Raw Materials	34,00,000	
Land	50,000	
Building	6,00,000	
Loose tools	1,50,000	
Plant & Machinery	3,00,000	
Investments	2,50,000	
Cash in Hand	15,500	
Cash in Bank	43,500	
Furniture & Fixtures	1,25,000	
Sundry Debtors	3,75,000	
Drawings	60,000	
Salaries	90,000	
Coal and Fuel	1,05,000	
Factory rent	77,000	
General Expenses	39,000	
Sales Return	55,000	
Bad Debts	15,000	
Direct Wages (Factory)	1,20,000	
Power	80,000	
Interest Paid on Bank overdraft	90,000	
Carriage Inwards	30,000	
Carriage Outwards	25,000	
	67,70,000	67,70,000

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Additional Information:

(i) Stock of Raw materials and finished goods at the end of the year was ₹ 5,00,000 and ₹ 4,37,500 respectively.

(ii) A provision for doubtful debts at 5% on Sundry Debtors.

(iii) Depreciate building by 10%, Plant and machinery by 15% and Furniture and fixtures by 10%,

(iv) One month Factory rent is outstanding.

(v) Interest has accrued on investment and rate of interest is 10% p.a.

(vi) Interest on loan from Mr. Sahil is payable @ 12% per annum. The loan was taken on 01.10.2023.

You are required to prepare Manufacturing Account, Trading Account, Profit and Loss Account and Balance sheet for the year ended 31 March,2024.

Accounts from Incomplete records

10. Ankur keeps his books of accounts by single entry system. However, he is able to give you the following lists of his assets and liabilities in the beginning as well as at the end of the year ended 31st March, 2024:

	On 1st April, 2023 ₹	On 31st March, 2024 ₹
Cash in hand	1,750	1,400
Cash at bank	20,000	-
Bank Overdraft	-	1,800
Bills Receivable	15,000	25,000
Stock	93,500	98,700
Debtors	60,000	70,000
Furniture and Fittings	65,000	65,000
Creditors	45,000	31,000
Bills Payable	5,000	Nil

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Ankur introduced ₹ 10,000 as fresh capital on 1st October, 2023. He also withdrew ₹ 5,000 every month for his household expenses.

During the year, there was no sale or fresh purchase of furniture and fittings. Ascertain the profit earned by Ankur during the year ended 31st March, 2024 after depreciating furniture and fittings @ 10% per annum and creating a provision for bad debts @ 5% on debtors.

Partnership Accounts

11. On 31st March, 2023, the Balance Sheet of X, Y and Z sharing profits and losses in proportion to their Capital stood as below:

Liabilities	₹	Assets	₹
Capital Account:		Land and Building	90,000
Mr. X	60,000	Plant and Machinery	60,000
Mr. Y	90,000	Stock of goods	36,000
Mr. Z	60,000	Sundry debtors	33,000
Sundry Creditors	30,000	Cash and Bank Balances	21,000
	2,40,000		2,40,000

On 1st April, 2023, X desired to retire from the firm and remaining partners decided to carry on the business. It was agreed to revalue the assets and liabilities on that date on the following basis:

(i) Land and Building be appreciated by 20%.

(ii) Plant and Machinery be depreciated by 30%.

(iii) Stock of goods to be valued at ₹ 30,000.

(iv) Old credit balances of Sundry creditors, ₹ 6,000 to be written back.

(v) Provisions for bad debts should be provided at 5%.

(vi) Joint life policy of the partners surrendered and cash obtained ₹ 22,650.

(vii) Goodwill of the entire firm is valued at ₹ 42,000 and X's share of the goodwill is adjusted in the A/cs of Y and Z, who would share the future profits equally. No goodwill account being raised.

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(viii) The total capital of the firm is to be the same as before retirement. Individual capital is in their profit sharing ratio.

(ix) Amount due to Mr. X is to be settled on the following basis:

50% on retirement and the balance 50% within one year.

Prepare (a) Revaluation account, (b) The Capital accounts of the partners, (c) Cash account and (d) Balance Sheet of the new firm M/s Y & Z as on 1.04.2023.

Dissolution of Partnership

12. Seema, Meena & Tina are partners sharing profits and losses in the ratio of 5:3:2. There capitals were ₹ 13,440, ₹ 8,400, ₹ 11,760 respectively.

Liabilities and assets of the firm are as under:

Liabilities:	₹
Trade creditors	2,800
Loan from partners	1,400
Assets:	₹
Patent	1,400
Furniture	2,800
Machinery	1,680
Stock	5,600

The assets realized in full in the order in which they are listed above. Meena is insolvent.

You are required to prepare a statement showing the distribution of cash as and when available, applying maximum possible loss procedure.

Financial Statements of Not for Profit Organizations

13. Hilfiger Sports club gives the following Receipts and Payments account for the year ended March 31,2023:

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Receipts and Payments Account

Receipts	₹	Payments	₹
To Opening cash and bank balances	1,04,000	By Salaries	3,00,000
To Subscription	6,96,000	By Rent and taxes	1,08,000
To Donations	2,00,000	By Electricity charges	12,000
To Interest on investments	24,000	By Sports goods	40,000
To Sundry receipts	6,000	By Library books	2,00,000
		By Newspapers and periodicals	21,600
		By Miscellaneous expenses	1,08,000
		By Closing cash and bank balances	2,40,400
	10,30,000		10,30,000

Liabilities	As on 31.3.2022 (₹)	As on 31.3.2023 (₹)
Outstanding expense:		
Salaries	20,000	40,000
Newspapers and periodicals	8,000	10,000
Rent and taxes	12,000	12,000
Electricity charges	16,000	20,000
Library Books	2,00,000	-
Sports goods	1,60,000	-
Furniture and fixtures	2,00,000	-
Subscription receivable	1,00,000	2,40,000
Investment government securities	10,00,000	-
Accrued interest	12,000	12,000

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Provide depreciation as follows:

Furniture and fixtures @ 10%

Sports goods @ 20%

Library books @ 10%

Provide full depreciation on additions.

Donations are to be capitalised.

You are required to prepare Club's opening Balance Sheet as on 1.4.2022, Income and expenditure Account for the year ended on 31.3.2023 and Balance sheet as on that date.

Issue and Forfeiture of Shares

14. Y. Ltd issued 20,000 shares of ₹ 10 each at premium of 20% per share. Payables as following:

On Application	₹ 2 Per share
On Allotment	₹ 5 per share (including premium)
On First Call	₹ 3 per share
On Final Call	₹ 2 per share

Applications were received for 30,000 shares and pro-rata allotment was made to the application for 24,000 shares. Any excess money paid on application was employed on account of sum due on allotment.

Kamal, to whom 400 shares were allotted, failed to pay the allotment money and on his subsequent failure to pay the first call his shares were forfeited.

Tamal, the holder of 600 shares, failed to pay the two calls, and his shares were forfeited after the final call. Out of the shares forfeited, 800 shares were issued to Ramesh Credited as fully paid for ₹ 9 per share, the whole of Kamal's shares being included.

Pass the necessary journal entries to record the above transactions.

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Debentures

15. On 1st April 2023, Sapan Ltd. (an unlisted NBFC) took over assets of ₹ 9,00,000 and liabilities of 1,20,000 of Plus Herbs Ltd. for the purchase consideration of ₹ 8,80,000. It paid the purchase consideration by issuing 8% debenture of ₹ 100 each at 10% premium on same date.

    Sapan Ltd. issued another 3000, 8% debenture of ₹ 100 at discount of 10% redeemable at premium of 5 % after 5 years. According to the terms of the issue ₹ 30 is payable on application and the balance on the allotment on debentures. It has been decided to write off the entire loss on issue of discount in the current year itself.

    You are required to pass the journal entries in the books of Sapan Ltd. for the financial year 2023-24.

Bonus Issue and Right Issue

16. Following are the balances appear in the trial balance of XYZ Ltd. as at 31st March, 2023.

    Issued and Subscribed Capital:

	₹
10,000; 10% Preference Shares of ₹ 10 each fully paid	1,00,000
1,00,000 Equity Shares of ₹ 10 each ₹ 8 paid up	8,00,000
Reserves and Surplus:	
General Reserve	2,40,000
Securities Premium (collected in cash)	25,000
Profit and Loss Account	1,20,000

On 1st April, 2023 the company has made final call @ ₹ 2 each on 1,00,000 Equity Shares. The call money was received by 15th April, 2023. Thereafter the company decided to issue bonus shares to equity shareholders at the rate of 1 share for every 5 shares held and for this purpose, it decided that there should be minimum reduction in free reserves. Pass Journal entries.

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Redemption of Preference Shares

17. Sushil Limited had 10,000, 10% Redeemable Preference Shares of ₹ 100 each, fully paid up. The company had to redeem these shares at a premium of 10%.

    It was decided by the company to issue the following:

    (i) 80,000 Equity Shares of ₹ 10 each at par.

    (ii) 4,000 12% Debentures of ₹ 100 each.

    The issue was fully subscribed and all accounts were received in full. The payment was duly made. The company had sufficient profits. Show journal entries in the books of the company.

18. Write short notes on the following:

    (i) Fundamental Accounting Assumptions.

    (ii) Objectives of preparing Trial Balance.

    (iii) Tangible Assets vs. Intangible Assets.

    (iv) Liability of LLP and its Partners.

    (v) Requirement to create Debenture Redemption Reserve.

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